

other will be down 10 percent. If there is zero correlation, then the assets are completely independent, and how one asset is behaving in the market has no bearing on the other.

Stocks and bonds are often the major tools advisors and investors use to reduce risk as they try to build portfolios made up of assets with low correlations. Historically, stocks and bonds have moved differently from each other. When the economy is strong and stocks are generally rising, money flows out of bonds as investors fear they're missing out, causing bond prices to slump and stocks to go higher. Investors are alive and well, with *risk-on* attitudes. When stock prices falter, investors become concerned by the potential losses, and money flows from stocks into the relative safety of bonds, known as a *flight to safety*. Such *risk-off* markets depress the price of stocks and float the price of bonds.

The two assets move in different directions based on the same news. They act almost like two people on a seesaw. This historical balancing of risk between stocks and bonds should be done as precisely as possible, otherwise wild market swings one way or the other will have a painful impact on the innovative investor's portfolio.

Combining assets that have a variety of correlations makes it possible to create a portfolio that can perform in both bull and bear markets. Just because a few players are feeling sick doesn't mean the whole team has to fail. One of the crown jewels of Markowitz's MPT was his concept of the efficient frontier, which indicates where a portfolio can provide the best expectation of return for its level of risk (see [Figure 6.2](#)). The